

Earnings Preview — Alphabet Inc. (NASDAQ: GOOGL / GOOG)

Pre-earnings analytical briefing for the Q2 FY2026 print

Reports: Wednesday, July 22, 2026 (after market close) · **Period:** Q2 FY2026 (Apr–Jun) · **Spot:** \$358.36 (+3.3% intraday) · **Mkt cap:** \$4.33T · **Prepared:** July 20, 2026

Prices and market data as of Jul 20, 2026 ~13:44 UTC. This is research assistance, not investment advice — see disclaimer.

\$116.8B Q2 REV CONSENSUS (+21% YOY)	~\$3.01 Q2 GAAP EPS CONSENSUS*	+65–72% CLOUD GROWTH EST. RANGE	\$419 CONSENSUS PRICE TARGET
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*Street GAAP EPS ~\$2.90–3.01; note GAAP EPS is heavily distorted by non-operating gains/losses on Alphabet's equity investments (see Earnings-quality screen).

Executive Summary

Alphabet enters the print with an unusual split screen: fundamentals look strong while the tape is jittery. The stock is up ~88% over 12 months but sits ~12% below its 52-week high after a two-week AI-driven wobble.^[7] Consensus looks for Q2 revenue of ~\$116.8B, up ~21% year on year, with cloud the headline act.^{[2][5]} Three drivers will decide the reaction:

- Driver 1 — Google Cloud acceleration & backlog:** Brokers model 65–72% cloud growth on top of a ~\$462B backlog and record segment margins; this is where an upside surprise most likely originates.^{[2][4][19]}
- Driver 2 — The AI/Gemini narrative vs. monetization:** A reported multi-month delay to Gemini 3.5 Pro has become the sentiment fulcrum, even though it has little bearing on this quarter's financials.^{[10][12]}
- Driver 3 — Capex trajectory, dilution & free cash flow:** A \$180–190B FY26 capex guide, an \$84.75B equity raise, and a flagged "significant" 2027 increase keep the ROI-on-AI debate front and center.^{[14][15]}

Primary drivers — EPIC documentation

Driver	E — Material	P — Forecastable	I — Consensus blind spot	C — Our gap vs consensus	Why prioritized
1. Cloud growth & margin	✓ Fastest-growing, margin-accretive segment; swings the multiple	✓ Backlog, capacity checks, peer price hikes give signal	✓ Street at ~65% vs broker 70–72%; margin ramp under-modeled	✓ Lean to upper end on revenue; watch margin durability	Highest surprise potential relative to what is embedded
2. Gemini / AI position	✓ Drives narrative, sentiment, and long-run search/cloud TAM	— Model timing is opaque; low forecastability	✓ Market fixated on delay headline vs. financial reality	✓ Delay is largely irrelevant to the Q2 print itself	It dominates positioning even if it barely moves the numbers
3. Capex / FCF / dilution	✓ Directly hits FCF, buyback capacity, valuation	✓ Guide known; delta is the surprise variable	— Broadly understood, though 2027 magnitude is not	✓ A capex raise + slower FCF is the most quantifiable bear lever	The clearest downside channel if commentary disappoints

Deprioritized: core Search advertising (steady, well-modeled at ~17% and unlikely to surprise sharply^[3]); regulatory/legal items (material long-term but rarely move a single print — covered under Bear case); Other Bets (immaterial to results).

Earnings-quality quick screen

Check	Observation	Implication	Watch for (forward)
OCF / Net income	TTM income quality ~1.09 (healthy); Q1 FY26 fell to ~0.73 ^[1]	Core cash conversion is sound; the Q1 dip is an artifact, not deterioration	Whether GAAP net income is again inflated by a large non-cash gain
OI&E / equity-investment marks	Q1 FY26 carried ~\$37.7B of "other income," lifting GAAP EPS to \$5.11 ^[1]	Headline EPS beat/miss can be dominated by mark-to-market noise	Strip OI&E to judge the <i>operating</i> beat; a swing to a mark-down would hit GAAP EPS hard
DSO vs revenue growth	Days sales outstanding ~51 days, broadly stable ^[1]	No revenue-recognition or receivables red flag	Any jump in DSO alongside cloud backlog conversion
Capex vs FCF	Q1 FY26: OCF ~\$45.8B, capex ~\$35.7B → FCF ~\$10.1B ^[16]	AI build-out is compressing free cash flow even as revenue grows	FCF trajectory and whether capex outpaces operating cash further

Financial Expectations

Consensus estimates — Q2 FY2026

Metric	Consensus / range	YoY	Source & notes
Total revenue	~\$116.8B	+21%	LSEG-cited consensus vs \$96.43B a year ago ^{[2][5]}
GAAP EPS	~\$2.90–3.01	≈ +30%	Street; up from \$2.31 in Q2 FY25 ^[7]
Google Cloud growth	+65% (Street)	—	BofA +70%; TD Cowen +72%, cloud "earnings headliner" ^{[2][4]}
Search & other growth	~+17%	—	vs +19% in Q1 FY26; retail strong, travel/CPG softer ^{[3][8]}
FY26 capex guide	\$180–190B	~2×	BofA sees possible lift to \$190–200B on component costs ^{[3][15]}

Note on EPS framing: BofA models Q2 net revenue of ~\$102.1B and GAAP EPS of ~\$8.38 — the latter far above the ~\$2.90 Street GAAP figure because it embeds large non-operating investment gains.^[4] Treat any EPS "beat" cautiously until the operating line is isolated.

Recent performance context — Q1 FY2026 (reported Apr 2026)

The set-up quarter was strong across the board: revenue rose ~22% to \$109.9B, operating margin expanded to ~36.1%, Search revenue grew 19%, and Google Cloud accelerated to +63% at \$20.0B — the first \$20B+ cloud quarter — with segment operating margin hitting a record ~32.9% (from 17.8% a year earlier) and cloud operating income of ~\$6.6B.^{[16][5]} Cloud backlog nearly doubled sequentially to ~\$462B, and management described enterprise AI as the primary cloud growth driver while noting it remains "compute constrained."^[19] Alphabet held ~\$126.8B of cash and marketable securities.^[16]

Sentiment & positioning

Data type	Metric / fact	Source	As of
Quantified news sentiment	90-day sentiment slightly negative (−0.073); 1-quarter z = −1.8 (below average)	Bigdata.com ^[23]	Jul 20
Media attention	Attention momentum +32.9%; 1-quarter z = +2.8 (unusually high) — driven by Gemini & regulatory stories	Bigdata.com ^[23]	Jul 20
Options / derivatives	Fund call value \$35.8B vs put value \$34.8B (−3% call skew); ~1.9× premium paid for upside calls vs downside protection	Bigdata.com / Insight Guru ^{[1][19]}	Q1 26 / Jul 15
Institutional ownership	Fund ownership 78.2% (−1.05pp QoQ); holders 5,614 (−78)	Bigdata.com ^[1]	Q1 26
Notable holders / flows	Berkshire increased position ~204% (stake ~\$21B+ and growing, incl. \$10B placement); Norges Bank closed; S. Druckenmiller exited	Bigdata.com / Yahoo / Globe ^{[1][18][21]}	Q1–Q2 26
Sell-side posture	Consensus Buy (2 Strong Buy / 69 Buy / 11 Hold / 1 Sell); PT mean \$419, median \$420, high \$460, low \$360	Bigdata.com ^[1]	Jul 20

The tell here is the **divergence**: sentiment is soft and below trend while attention is unusually elevated — the classic signature of a high-visibility overhang (Gemini timing + European regulatory headlines) sitting on top of a fundamentally intact story. Notably, spot (\$358) trades below even the lowest published sell-side target (\$360).^{[1][23]}

Recent Developments & Initiatives

- **Gemini 3.5 Pro delayed (Jul 16–17)**: Bloomberg reported the flagship model is months behind schedule as engineers work to close a coding gap versus OpenAI and Anthropic; shares fell ~4.4–4.7% and kept sliding to ~\$344. Google says it is testing 3.5 Pro and an upgraded Flash with partners.^{[10][11][12]}
- **\$84.75B equity capital raise (Jun 2)**: Upsized from \$80B; includes a \$10B Berkshire Hathaway private placement, mandatory convertible preferred, and a \$40B ATM program — explicitly to fund AI infrastructure and compute.^{[14][15]}
- **Buffett endorsement (mid-Jul)**: Buffett said he personally initiated the Alphabet stake and called it more likely to win than 90–95% of what Wall Street markets, while still ranking it below several other Berkshire holdings.^[18]
- **External TPU traction**: Structured financing (~\$35B, Apollo/Blackstone) to lease Google TPUs to Anthropic, plus a large SpaceX compute contract — evidence of demand for Google silicon beyond its own cloud.^[22]
- **Index & distribution**: Google joined the Dow; global search share ~91% (Jun 2026).^[17]
- **Legal/regulatory (see Bear case)**: EU top court upheld a €4.1B (\$4.7B) Android fine (Jul 2); Swiss COMCO opened a preliminary Android "choice-screen" probe (Jul 14); authors/publishers sued over Gemini training data (Jul 15).^{[9][20]}

Industry Trends & Sector Dynamics

- **AI-capex scrutiny is the season's theme**. After a weak Netflix print and an IBM pre-warning, investors are pressuring mega-cap tech to justify AI spend; Alphabet is seen as a barometer for AI capital expenditure.^{[2][5]}
- **Component-cost inflation**. Rising memory and other hardware prices are pushing hyperscaler capex higher and raising questions about how far cloud providers can lift prices before customers push back.^[2]
- **Model competition & "good-enough" substitution**. HSBC flags the risk that some enterprises shift from Gemini toward the lighter Gemma model or lower-cost models from China — a margin/mix watch item.^[2]
- **Cloud demand signals are positive**. Capacity constraints, a rival cloud price increase, and Alphabet limiting capacity to some clients are read by BofA as demand strength.^[3]

What's priced in

Lens	Implied by market	Consensus	Our assessment
Revenue growth	Continued ~20%+ total growth with cloud re-acceleration	+21% total; cloud +65%	In-line to modestly above on cloud (lean to 68–72%)
Margins	Stable-to-expanding operating margin; cloud margin ramp continuing	Op margin ~mid-30s%; record cloud margin holding	Cloud margin durability is the key swing; upside if sustained
Beat / miss bar	Elevated (beat 4 of last 5), but de-rated ~12% off highs on Gemini	Whisper likely above published cloud figure	Recent de-rate provides some cushion vs. a high bar

Valuation cross-check

On a forward basis the stock trades around 24× earnings — roughly a 15% premium to its trailing five-year average forward multiple — with TTM P/E ~26× and TTM EV/EBITDA ~19×.^{[6][21][1]} That is full versus Alphabet's own history, but it is underpinned by accelerating, margin-accretive cloud growth and a ~\$462B backlog, and it is *below* the sell-side target range (spot \$358 vs. low target \$360, mean \$419).^{[1][19]} Net read: **fair-to-slightly-rich on history, reasonable on growth**, with the recent Gemini-driven de-rate having removed some froth ahead of the print.

Variant perception (FaVeS)

Fundamentals

The two KPIs that actually drive value this quarter are (1) **cloud revenue growth and segment operating margin** — where the backlog and capacity checks argue for the upper end of the estimate range (Driver 1) — and (2) **capex/FCF**, where the surprise variable is the size of any guide increase and the 2027 "significant increase" language (Driver 3). Core Search remains a steady ~17% grower and is unlikely to be where the surprise lives.^{[3][8]}

Valuation

Price embeds continued ~20%+ growth and a durable cloud margin story; at ~24× forward it is not pricing a stumble, but the ~12% pullback from highs means expectations are less stretched than a month ago. See *What's priced in* and *Valuation cross-check*.

Sentiment

Positioning is constructive under the surface (Berkshire adding, mild call skew, Buy-skewed sell side) even as headline sentiment is soft on the Gemini/regulatory overhang. That gap — negative narrative, intact positioning — is the behavioral setup for a relief move *if* cloud delivers and capex commentary is disciplined.^{[1][23]}

Bull Case — drivers for an upside surprise

- **Cloud beats the ~65% Street bar.** Evidence: BofA (+70%) and TD Cowen (+72%) checks, ~\$462B backlog, capacity constraints, and a rival price increase. Impact: a cloud beat plus sustained ~33% segment margin is the single biggest lever on both the print and the multiple.^{[2][4][19]}
- **Search proves AI-resilient.** Evidence: AI Overviews / AI Mode lifting queries to record levels and supporting paid clicks; retail ad strength in the quarter. Impact: defuses the "AI kills search" bear thesis and protects the profit engine.^[8]
- **Disciplined capex / monetization proof.** Evidence: external TPU demand (Anthropic, SpaceX) and enterprise AI as the primary cloud driver. Impact: if management frames spend against concrete demand, the ROI-on-AI worry eases and dilution fear recedes.^{[19][22]}

Bear Case — risks to consensus

- **Capex shock / FCF erosion.** Evidence: FY26 guide already ~2× prior year; BofA flags a possible lift to \$190–200B; CFO signaled 2027 will "significantly increase." Impact: a higher guide with FCF already down to ~\$10.1B in Q1 revives the dilution/return-on-spend debate.^{[3][15][16]}
- **Gemini overhang & model-substitution.** Evidence: multi-month 3.5 Pro delay and reports rivals have passed it on coding; HSBC's concern about enterprises drifting to Gemma or cheaper models. Impact: pressures the AI-leadership premium and, at the margin, cloud/AI mix.^{[2][10][12]}
- **Regulatory/legal drumbeat.** Evidence: EU's upheld €4.1B Android fine, Swiss choice-screen probe, EU data-sharing/Android-opening demands, a Swedish penalty (~\$1.5B), and a new AI-copyright suit. Impact: mostly a slow financial bleed and a distraction risk on the call rather than a single-quarter number.^{[9][20][23]}

Scenario analysis

Scenario	Prob.	Key assumptions	Price target	Return vs spot
BULL	30%	Cloud >70% with sustained ~33% margin; capex framed against clear demand; Gemini reassurance	\$445	+24%
BASE	50%	In-line-to-modest beat on revenue/cloud; capex nudged higher; Gemini overhang lingers but no new negative	\$400	+12%
BEAR	20%	Cloud only in-line or margin slips; capex raised sharply / FCF pressure; Gemini or regulatory concern deepens	\$315	-12%
Total	100%			

Probability-weighted value: $(0.30 \times \$445) + (0.50 \times \$400) + (0.20 \times \$315) = \$133.5 + \$200.0 + \$63.0 = \sim\$396.5$, or about +10.6% versus the \$358.36 spot. The skew is modestly positive, consistent with a fundamentally strong quarter meeting a de-rated, overhang-laden tape.

Key metrics to watch

1. **Google Cloud revenue growth & operating margin:** the highest-surprise line. A print above ~68% with margin holding near ~33% is the bull trigger; deceleration or margin give-back is the clearest disappointment.^{[4][19]}
2. **FY26 capex guide (and 2027 tone):** any move above \$190B, and how concretely spend is tied to demand, will drive the dilution/FCF reaction.^{[3][15]}
3. **Search & other revenue + AI Overviews commentary:** confirmation that AI is additive (not cannibalizing) to the core ad engine.^[8]
4. **Operating income vs. GAAP EPS bridge:** isolate the operating beat from equity-investment marks in "other income."^[1]
5. **Cloud backlog (RPO):** whether the ~\$462B commitment base keeps building.^[19]

Management guidance focus areas (call & Q&A)

- Framing of AI capex ROI and the 2027 spending step-up; any capacity-monetization detail.^[15]
- Gemini 3.5 Pro timing, coding-benchmark position, and any enterprise model-mix commentary (Gemini vs Gemma vs external models).^{[2][12]}
- Cloud margin trajectory and whether Alphabet remains "compute constrained."^[19]
- Capital-return posture given the equity raise and reduced buyback capacity.^[14]

Investment implications

Given what is embedded and the scenario-weighted math, the risk/reward tilts **modestly positive into the print**: a strong, margin-accretive cloud quarter is meeting an unusually negative narrative and a stock that has already given back ~12% and trades below the low sell-side target. The reward case rests on cloud delivering and capex being framed credibly; the risk case rests on a capex/FCF shock or a fresh Gemini/regulatory negative overwhelming good operating results.

Net assessment: Modestly **positive**, because cloud momentum and backlog can beat a de-risked bar while positioning stays constructive. **Key risk:** a capex increase and softer FCF reviving the ROI-on-AI/dilution debate. **Next catalyst:** Q2 FY2026 results and earnings call, Wednesday, July 22, 2026 (after close).

Sources

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